

Pharmaceutical Industry

Market Overview & Trends

- **Indian Pharma industry Market Size:** USD 42 Billion
- India ranks **3rd** in terms of pharmaceutical production by **Volume** and **14th** by **Value**
- **Contribution of India towards global demands :**
 - Vaccine supplies: **50%**
 - Generic demand in the US: **40%**
 - Overall Demand in UK: **25%**
- **Export Market Size:** USD 24.44 Billion
- **GDP contribution stands at:** 1.5%
- **Market growth rate:** 10-12%
- **Cost of Manufacturing:** Approx. 33% lower than western market
- TATA digital took an initiative to boost their portfolio & venture into e-pharmacy & e-diagnostics has acquired 1mg
- As COVID-19 hit India, e-pharmacies onboarded 45% of new users based out of Non-Metros
- Costs of raw material for drugs rise by up to 140%, as Active Pharmaceutical Ingredients (API) in pharma circles back to the price of pre pandemic levels

Cost Drivers

Research & Development

Manufacturing & Clinical Trials

Regulatory demands & Patents

Revenue Drivers

OTC Drug Sale

Digital Therapeutics

Surged Exports

Government Initiatives

- **Production Linked Incentive (PLI) Scheme:** The sector is supported by Production Linked Incentive Schemes to boost domestic manufacturing capacity, including high value products across the global supply chain
- **Pradhan Mantri Bhartiya Janaushadi Yojana**
- **COVID BEEP**
- **National Health Policy**

Growth Drivers



Innovation and R&D

Government incentives, such as PLI 2.0, encourage the development of high-value medications



Medical Tourism

Quality services at marginal costs compared to the US, Europe, and South Asia



Infrastructure development

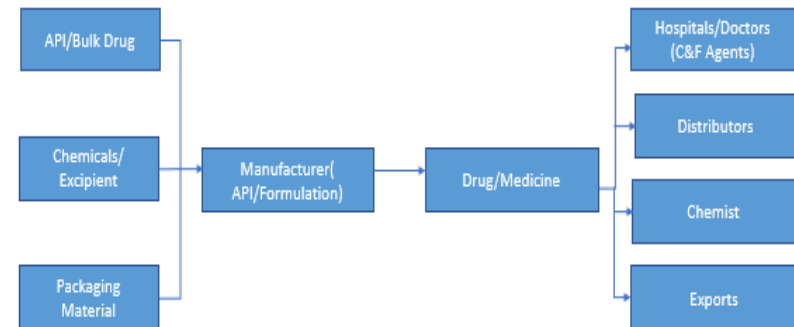
India has the highest number of US-FDA compliant plants outside the US which boosts drug manufacturing



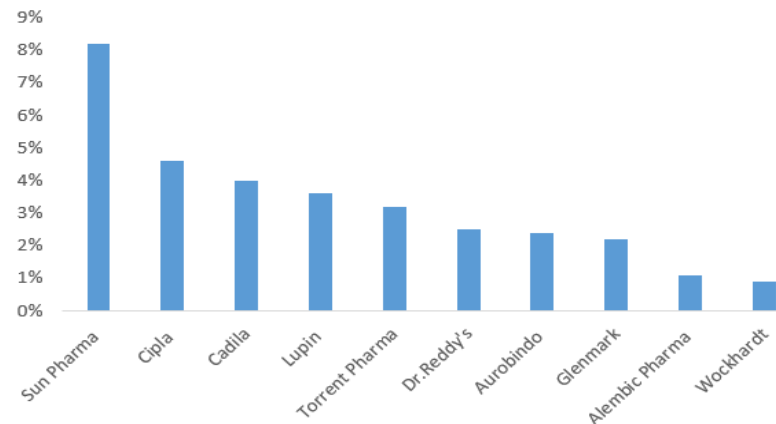
Strong Domestic demand

Launch of the largest National Health Protection Scheme globally

Pharma Industry Value Chain



Market Share (%)



Key Performance Indicators

Clinical Success rate

New Drug Development rate

Takt Time

R&D Expense per New Drug Developed

Future Trends

- With digital transformation & changing consumer behavior e-pharmacies & tele-health services are on a surge
- Use of advanced analytics to track & forecast demand & supply of products
- Strategic M&A for portfolio extension
- Easing governmental policies & increasing FDI
- Shift to Specialty drug based model

Key Segments

API Manufacturer

Contractual Research

Formulation Manufacturer

Skill & Infrastructure

Biotechnology